

Unfortunately, making the decision involves a lot more than simply comparing your monthly rent with the monthly mortgage you'd pay as an owner. You also need to take into account how long you plan to own the home, how much you think the home will increase in value (or "appreciate"), the tax break you'll get for buying, the fees you'll have to pay when you buy, and the rate of return you think you could earn by investing the cash you would save by *not* buying (this is called your **opportunity cost**). Of course, plenty of emotional factors go into this decision too, but I'll leave those for you to think about. A great place to start your thinking is with the "buy versus rent" calculators at www.dinkytown.net and www.myfico.com. Also consider these tips:

- **If you can't envision yourself in the same place for the next several years, you should rent.** Like I said, there are many financial issues that determine whether it makes sense for you to buy or rent. One very important factor is the thousands of dollars you'll pay in upfront fees when you purchase a home. These charges are called **closing costs** because they're paid when you close the deal and sign the final paperwork on a new home. Then, when you sell your home, you can expect to pay thousands more to a real estate broker. If you stay in your place for a number of years, these costs won't make much difference, at least in theory. The hope is that your home's selling price will increase enough to cover them and then some. But if you move after a couple of years and your home's value has not appreciated significantly, you may not be able to sell your home for enough of a profit to cover these costs.
- **If you have an amazing deal on a rental, it might make more sense to rent and stash your savings elsewhere.** In some cities there are still low-cost apartment deals to be had. If you're lucky enough to have a **rent-controlled** or **rent-stabilized apartment** (one where the landlord can't charge more than a fixed rent and fixed increases) that's substantially below the going rental rate, you may be better